

Quarterly Outlook

Strategic Defence

“Offense sells tickets. Defence wins championships.”

PAUL “BEAR” BRYANT, HEAD COACH OF THE ALABAMA CRIMSON TIDE BETWEEN 1958–1982

While the backdrop for equities remains compelling, if the U.S. economy slows materially, or if markets wobble from stretched valuations, where is your portfolio’s protection?

Strategic defence, when thoughtfully constructed, is a quiet strength. It enables portfolios to stay the course during periods of market disruption, act with agility when opportunities arise, and preserve the integrity of long-term wealth.

In this Quarterly Outlook, we reaffirm our recommendation to remain predominantly invested in risk assets as part of a long-term investment strategy, while strategically incorporating defensive assets into portfolios. Although equity market momentum is currently strong, corrections are a recurring feature of long-term investing.

Strategic defence has evolved – it is no longer just about cushioning against a potential risk-off environment. Defensive assets are increasingly proving their worth not only as buffers, but as meaningful contributors to portfolio returns – often rivalling or exceeding listed equities, with lower volatility and greater predictability.

We typically build portfolios with an allocation to defensive asset classes (fixed income and defensive alternatives) as high as 20% to 40% – tailored to each portfolio’s objectives and risk tolerance. We also embed defensive characteristics within our growth allocations across asset classes.

Our defensive asset toolkit:

EQUITIES
Quality and defensive growth

FIXED INCOME
Government and investment-grade corporate bonds

PRIVATE CREDIT & COMMERCIAL REAL ESTATE DEBT
Senior secured loans

INFRASTRUCTURE
Combining traditional core with secular growth

HEDGE FUNDS
A blended approach

PROPERTY
Healthcare assets

This approach enables portfolios to deliver strong risk-adjusted returns with lower volatility than equity markets – building resilient portfolios for the decades ahead, not just quarters.

Vulnerabilities – softening economic backdrop

The Federal Reserve Board (Fed) remains in a challenging situation – balancing the inflationary impact of tariffs against a cooling labour market and slowing economic growth. Pre-emptive rate cuts typically support equity momentum if a recession is avoided, but the outlook remains uncertain. As 2026 approaches, attention will turn to potential changes in Fed leadership – including the end of term for Chair Jerome Powell – and the U.S. mid-term elections, both shaping the future direction of U.S. policy.

The U.S. economy is slowing but not stalling, and recession risk has receded. According to the latest Summary of Economic Projections, the Fed expect GDP growth of 1.6% in 2025, down from 2.6% growth in 2024. Looking ahead, the Fed projects below trend growth of 1.8% in 2026. A slowdown in Artificial Intelligence (AI) spending remains a risk to this outlook given a substantial portion of current growth is being driven by AI-related investment (capital spending on data centres, chips, and infrastructure) – without which the economy would likely have contracted in the first half of the year. Negative labour market developments confirm a softening economic backdrop, and forward-looking indicators are less optimistic. Labour demand has materially weakened (nonfarm payrolls dropped to just 22,000 in August 2025) and the unemployment rate has ticked up from historic lows.

To date, corporates have avoided large-scale lay-offs or restructures. Coupled with lower immigration and resilient corporate profitability, a meaningful rise in unemployment appears unlikely in the near-term. The Fed forecasts only a marginal increase, with unemployment expected to edge up from 4.3% currently to 4.4% by 2026.

The slowdown in jobs growth supported the Fed's decision to cut its benchmark interest rate by 0.25% in September – following a nine month pause. The Fed is currently projecting two more rate cuts in 2025 (in October and December) and just one more in 2026. However, future cuts are far from certain as inflation remains persistently above target.

The effect of tariffs on consumer prices is expected to accumulate over the coming months, with high uncertainty about timing and amounts. Although considered one-off in nature, this does not mean 'all at once'. Tariffs take time to work their way through supply chains and distribution networks. Moreover, trade policy continues to evolve, potentially prolonging the adjustment process.

The Fed forecasts inflation ending 2025 at 3% (little changed from August's core CPI of 3.1%) and falling to 2.6% in 2026, remaining well above the Fed 2% target – a challenging situation.

"In the near term, risks to inflation are tilted to the upside and risks to employment to the downside—a challenging situation."

FED CHAIR, JEROME POWELL, SEPTEMBER 2025

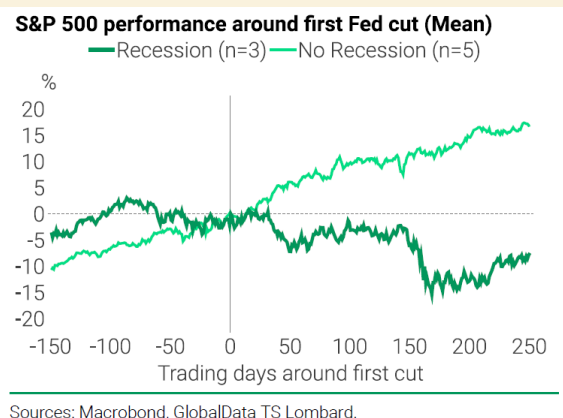
How do equity markets perform during Fed rate cuts?

While Fed rate cuts are often viewed as a tailwind for equity markets, the broader impact depends heavily on whether the economy avoids recession.

Since 1974, there have been 4 easing cycles unaccompanied by a recession within the following 12 months. Equities posted positive returns in each instance, delivering a median gain of between 15% to 20%, according to TS Lombard.

In this environment, small-cap stocks have often outperformed their large-cap peers. This is largely due to their greater sensitivity to borrowing costs and domestic economic momentum.

However, if rate cuts fail to prevent a recession, equity markets tend to underperform, with the S&P 500 Index often experiencing negative returns in the months that follow. In these cases, investor sentiment weakens, volatility rises, and leadership typically shifts toward defensive sectors.



Market breadth improving, but valuations stretched

The S&P 500 Index has surged a remarkable 34% from its April lows (up nearly 14% in calendar year 2025), supported by monetary easing by the Fed, better-than-feared tariff impacts, and strong U.S. corporate earnings. Market breadth has also improved meaningfully, with close to 65% of S&P 500 companies now trading above their 200-day moving average – up from less than 20% in April – signalling a broadening rally beyond mega-cap leadership.

Second quarter earnings for S&P 500 companies were well ahead of expectations. Results continue to be led by mega-cap technology with the Magnificent Seven (Apple, Microsoft, Amazon, Alphabet, Meta, Tesla, and Nvidia) delivering 26.6% year-over-year earnings growth for the second quarter, versus 8.1% for the remaining 493 S&P 500 companies, according to FactSet.

Capital management initiatives are expected to provide an ongoing pillar of support, with U.S. companies announcing to buy back over \$1 trillion shares this year, improving their earnings-per-share growth. Buybacks are being dominated by the largest 20 companies, led by Apple (\$100 billion), Alphabet (\$70 billion), Nvidia (\$60 billion) and JP Morgan (\$50 billion).

Equity prices have outpaced strong earnings growth, leaving valuations stretched by historical standards – the S&P 500's forward price to earnings (P/E) of 22.9x is well above its long-term average. High valuations are predominantly driven by the Magnificent Seven (which trade at a premium at 31.2x, in contrast to the S&P 493 at closer to 21x). While valuation metrics are not precise timing tools (assets can stay cheap or expensive for a long time before correcting), they offer some insight into the long-term return potential of equities – future returns may be lower, particularly if earnings growth slows or macroeconomic risks materialise.

Valuations are not uniform across the U.S. market. Small and mid-cap companies – trading at closer to 14x to 16x forward P/E – are offering reasonable valuations, as are sectors such as consumer staples, infrastructure, and financials (albeit with lower earnings growth).

Recent performance trends suggest investors have recognised this value and started rotating into small caps in anticipation of monetary policy easing, with the Russell 2000 Index rallying over 13% since the start of August, outperforming large caps.

Valuations are not uniform across the market
PE ratios by market cap size (times)



Despite the recent rotation into small caps and improvement in market breadth, the index remains highly concentrated, with Magnificent Seven companies accounting for over 30% of the S&P500 Index. In combination with stretched valuations, this places significant pressure on mega-cap technology companies to sustain earnings growth at a time where substantial capital expenditure is required for AI investment. This reinforces the vulnerability of equities should these companies falter or if investor sentiment shifts.

This occurred in the first quarter of 2025 when equity markets faced significant headwinds driven by concerns around intensifying AI competition – particularly following the release of Deepseek – alongside uncertainty in global trade policy and the broader macroeconomic outlook. The S&P 500 Index declined by 4.6% over the quarter, dragged down by sharp losses in growth-oriented sectors (Magnificent Seven companies collectively fell 16%). Defensive sectors outperformed in this risk-off environment – healthcare, consumer staples and utilities rising between 4% to 6%.

The case for strategic defence

In this uncertain environment, ensuring portfolios are strategically allocated is critical. We recommend remaining predominantly invested in risk assets as part of a long-term investment strategy. However, given the unpredictable economic backdrop, the risk-reward balance favours exposures to strategies that protect and grow capital under a range of economic and market outcomes.

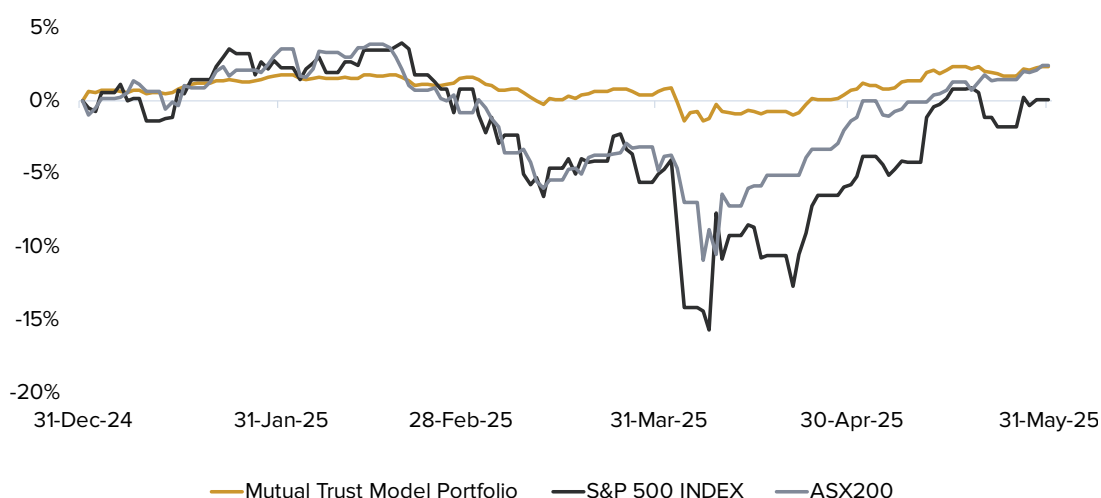
Defensive positioning is often thought of as a conservative approach, rather than a proactive strategy. However, defensive assets are increasingly proving their worth not only as stabilisers, but as meaningful contributors to portfolio returns – often rivalling or exceeding returns generated by listed equities but with lower volatility. It's not about retreating from growth; it's about reinforcing it.

When constructing portfolios, we typically allocate between 20% to 40% to defensive asset classes (i.e. fixed income and defensive alternatives) – tailored to a portfolio's overall objectives and risk tolerance. We aim to balance traditional protection with defensive assets within private market alternative exposures.

Our allocation to growth exposure may also incorporate a selection of assets with more defensive attributes (such as quality and defensive growth equities, unlisted core infrastructure, hedge funds and healthcare property).

The overall effect is to design portfolios that deliver attractive risk-adjusted returns with lower volatility than equity markets – staying invested in growth assets without taking on excessive risk. During periods of disruption, it enables us to stay the course, while being agile enough to capture opportunities as they arise.

Mutual Trust Balanced Model Portfolio - resilient in volatile markets



Source: Mutual Trust

Defensive assets – our toolkit

Equities – Quality and defensive growth

Our objective is to build equity portfolios strategically positioned for the long-term – offering resilience to navigate challenging economic environments.

We reinforce our preference for high quality companies with diversified business models, strong balance sheets, pricing power to pass on higher input costs, and recurring revenue streams.

Mutual Trust's portfolio 'sweet spot'

Mutual Trust's equity team adopts a bottom-up portfolio approach with low turnover, focusing on high-quality businesses operating in our 'portfolio sweet spot' – those offering **structural growth** or **defensive growth** attributes (refer chart):

- **Structural growth** – Proven business models with structural tailwinds and a long growth

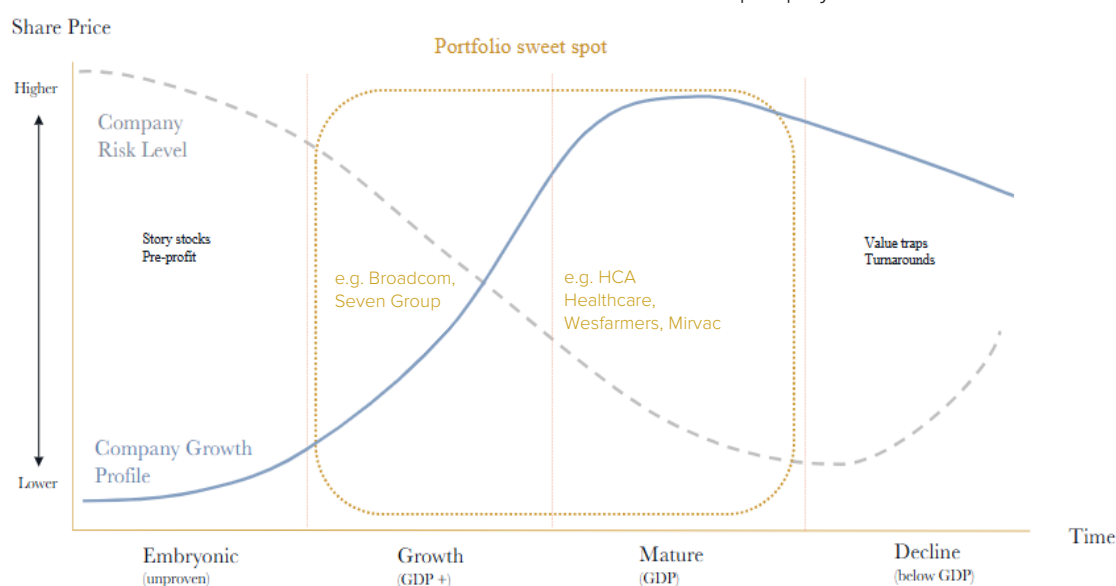
runway. Companies such as **Broadcom**, **Microsoft Corporation**, **Seven Group Holdings** or **Goodman Group** fall into this category.

- **Defensive growth** – Mature companies with defensive growth characteristics that are high cash generators. Companies such as **HCA Healthcare**, **Wesfarmers** or **Mirvac** fall into this category.

Resources companies, such as BHP and RIO, typically straddle between growth and mature given their cyclical nature.

In contrast, we aim to avoid companies outside our 'portfolio sweet spot' (i.e. mature businesses facing structural decline, where valuations may look attractive, yet growth is unappealing).

For early-stage growth companies which typically carry higher risk, we gain exposure predominantly through our private market equity investments or specialist diversified small-cap equity fund



Source: Mutual Trust

Fixed Income – remerged as a meaningful contributor

Fixed income assets (i.e. government and corporate bonds) are now well positioned to deliver attractive returns compared to the prior decade, following significant yield increases in recent years,

Currently, a broad measure of Australian government and corporate bonds (called the Bloomberg Ausbond Composite Index) is offering returns of about 4% per year – the highest level since 2012. Similarly, a global measure of bonds

(the Global Aggregate Index) is offering about 3.5% per year – the highest since 2009.

We believe exposure to both government and investment-grade corporate bonds provides investors with a compelling balance of consistent income, liquidity and capital preservation.

If a severe economic slowdown materialises, these latter two characteristics are critical – protecting capital while providing a highly liquid funding source to enable investors to act with agility if compelling investment opportunities arise in other asset classes.

Nonetheless, as economic uncertainty remains high and market volatility increases, the correlation between equities and fixed income could potentially swing between periods of negative and positive.

This lends itself to adding alternative assets to portfolios, which offer lower correlation to traditional asset classes. Our portfolios include a blend of alternative investments offering defensive qualities and/or consistent, stable income and those higher-risk higher-returning opportunities.

Private credit and Commercial Real Estate (CRE) debt – senior secured offers more defensive attributes

Private credit and CRE debt offer a combination of income and capital preservation. Floating-rate structures, senior secured deals, and strong covenants provide both yield and resilience.

For more defensive exposure, we focus on senior secured debt – that which ranks highest in the capital structure and as such, has the highest recovery rate in the event of a default. This means senior secured loans typically carry lower risk and are therefore priced at lower interest rates. In Australia, target returns for these more defensive strategies are around 8% to 10%, predominantly via income.

Within a portfolio context, our preference is to combine more defensive, senior secured lending exposures with select growth opportunities, including mezzanine or opportunistic debt as well as distressed debt.

Infrastructure – combining traditional core with secular growth opportunities

Traditional infrastructure assets (such as roads, bridges, airports, utilities (e.g. power, water)) provide essential services to the community. They typically produce stable cash flows, are less correlated with the economic cycle and many provide some level of inflation protection – attractive defensive qualities for the current economic climate.

Mutual Trust's preferred approach is to combine traditional core infrastructure assets with secular growth opportunities (i.e. digitisation and the energy

transition), preferably across unlisted markets. Our blended approach provides portfolios with downside protection, some inflation protection while providing leverage to growth trends and value-add assets.

Hedge funds – a blended approach

Hedge funds employ a wide range of strategies – such as long/short equity, global macro, event-driven, and market-neutral – to generate returns less correlated with traditional asset classes. Importantly, hedge funds are not just about downside protection. Many strategies are designed to capture idiosyncratic opportunities, offering attractive risk-adjusted returns even in challenging market conditions.

Our approach is to blend hedge fund exposures, involving thoughtful construction tailored to a portfolio's objectives. A single-strategy approach – such as allocating to a long/short equity or credit fund – can offer targeted exposure to specific market inefficiencies or defensive characteristics. This requires a proactive approach to blending, rebalancing and oversight.

Alternatively, a multi-strategy hedge fund provides built-in diversification across several approaches, often with dynamic allocation and risk management embedded within the structure.

Direct property – healthcare assets

Healthcare property is typically a more resilient property sector due to the non-cyclical nature of healthcare services, and its often government-funded or subsidised. These assets include medical centres, private hospitals, diagnostic facilities, and life sciences. The sector is characterised by long leases, low vacancy rates and high-quality, 'sticky' tenants.

Healthcare asset values typically offer traditional core property style returns but prove to be less volatile with income stability versus traditional property sectors (i.e. office and retail) during periods of market weakness.

Within direct property allocations, we blend more defensive exposures (such as healthcare assets), with higher returning opportunities across office, retail and industrial sectors.

Strategic defence, when thoughtfully constructed – is a quiet strength. It allows portfolios to stay the course during periods of market disruption, to act with agility when opportunities arise, and preserve the integrity of long-term wealth.

Please reach out to your Mutual Trust Advisor with any questions.



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